

UNITED STATES SECURITIES AND EXCHANGE COMMISSION

Washington, D.C. 20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended February 25, 2023

BED BATH & BEYOND INC.

650 Liberty Avenue, Union, New Jersey 07083

Commission File Number: 000-20214

Securities registered pursuant to Section 12(b) of the Act: Common Stock, \$0.01 par value per share (BBBY) — The Nasdaq Stock Market LLC

PART I

Item 1. Business

Bed Bath & Beyond Inc. (Page 2) is an omnichannel retailer offering domestic merchandise and home furnishings. The Company operates retail stores under the names Bed Bath & Beyond and buybuy BABY, as well as various e-commerce websites.

During fiscal 2022, the Company initiated an aggressive store footprint rationalization, closing 150 lower-producing stores and reducing corporate headcount to mitigate cash burn.

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Item 1A. Risk Factors

Liquidity and Solvency Risks (Page 4): The Company has suffered significant recurring net losses and cash burn from operations, which raise substantial doubt about its ability to continue as a going concern.

Our access to trade credit and vendor financing has been severely restricted as merchandise suppliers and credit insurers have demanded cash in advance or reduced payment terms.

If the Company is unable to execute emergency capital recapitalization or restructuring transactions, it may be forced to seek relief under Chapter 11 of the U.S. Bankruptcy Code.

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PART II

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Results of Operations (Page 7): Net sales for fiscal 2022 were \$5,345 million, compared to \$7,871 million in fiscal 2021, representing a severe top-line decline of \$2,526 million or 32.1%. The drop in net sales was driven by reduced customer foot traffic, widespread inventory stockouts, and brand damage.

Gross margin compressed precipitously by 11.8 percentage points to 19.8% in fiscal 2022 from 31.6% in fiscal 2021, driven by massive clearance discounting and inventory impairment markdowns.

The Company experienced extreme liquidity pressure, resulting in an operating loss of \$(1,230) million and a net loss of \$(1,400) million for fiscal 2022.

Key Metric (in millions)	Fiscal 2022	Fiscal 2021	YoY Change
Net Sales	\$5,345	\$7,871	-32.1%
Gross Profit	\$1,058	\$2,487	-57.5%
Gross Margin %	19.8%	31.6%	-11.8 pts
Operating Loss	\$(1,230)	\$(480)	-156.3%
Net Loss	\$(1,400)	\$(560)	-150.0%

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Item 8. Consolidated Financial Statements and Supplementary Data

Bed Bath & Beyond Inc. Consolidated Statements of Operations

Financial Statements (Page 11) (in millions, except per share data):

Statements of Operations	Fiscal 2022	Fiscal 2021
Net Sales	\$5,345	\$7,871
Cost of Sales	\$4,287	\$5,384
Gross Profit	\$1,058	\$2,487
Selling, general and administrative expenses	\$2,288	\$2,967
Operating Loss	\$(1,230)	\$(480)
Interest expense, net	\$170	\$80
Net Loss	\$(1,400)	\$(560)
Diluted Loss Per Share	\$(14.50)	\$(5.80)

Consolidated Balance Sheet & Cash Flow Highlights (in millions):

Balance Sheet / Cash Flow Metric	Fiscal 2022	Fiscal 2021
Total Debt (Borrowings & Senior Notes)	\$1,730	\$1,180
Prior Total Debt	\$1,180	\$1,020
Cash and cash equivalents	\$153	\$439
Total Stockholders' Equity (Deficit)	\$(798)	\$150
Operating Cash Flow (Cash used in operating activities)	\$(508)	\$(337)

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Note 8 — Debt Financing, Credit Facilities and Covenant Breaches

Credit Facilities and Covenant Default (Page 15): As of February 25, 2023, total outstanding long-term debt was \$1,730 million, representing a \$550 million or 46.6% surge from \$1,180 million in the prior year.

During January 2023, the Company received formal default notices from JPMorgan Chase Bank, N.A., as administrative agent under the Amended Credit Agreement, citing covenant breaches and failures to maintain minimum liquidity thresholds.

The Company entered into temporary waiver and forbearance agreements while exploring emergency debt restructuring and equity offerings.

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Report of Independent Registered Public Accounting Firm

To the Shareholders and Board of Directors of Bed Bath & Beyond Inc.

Substantial Doubt About the Company's Ability to Continue as a Going Concern (Page 19)

The accompanying consolidated financial statements have been prepared assuming that the Company will continue as a going concern. As discussed in Note 1 to the consolidated financial statements, the Company has suffered recurring operating losses, negative cash flows from operating activities of \$(508) million, and has a stockholders' deficit of \$(798) million that raise substantial doubt about its ability to continue as a going concern. Management's plans in regard to these matters are also described in Note 1. The consolidated financial statements do not include any adjustments that might result from the outcome of this uncertainty.

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Item 9A. Controls and Procedures

Evaluation of Disclosure Controls and Procedures (Page 22): Management, under the supervision of the Chief Executive Officer and Chief Financial Officer, evaluated the effectiveness of disclosure controls and internal control over financial reporting (SOX 404).

Management identified material weaknesses in internal control over financial reporting related to: (1) inadequate design of controls over complex debt and equity financing arrangements, and (2) inventory valuation and lower-of-cost-or-net-realizable-value write-down procedures. Due to these material weaknesses, internal control over financial reporting was not effective as of February 25, 2023.

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